

Absolute momentum is still relatively unknown and has not yet attracted much attention.

The best approach is to use absolute and relative together in order to gain the advantages of both. The way we do that is by first using relative momentum to select the best-performing asset over the preceding 12 months. We then apply absolute momentum as a trend-following filter by seeing if the excess return of our selected asset has been positive or negative over the preceding year. If it has been positive, that means its trend is up and we proceed to use that asset. If our asset's excess return over the past year has been negative, then its trend is down and we invest instead in short- to intermediate-term fixed-income instruments until the trend turns positive. This way, we are always in harmony with the trend of the market. Go market!

ALPHA AND SHARPE RATIO

Before we move on to actual model development, we need to assemble a group of quantitative tools to help us evaluate our strategies and make informed decisions about them. Academics often use factor pricing model alphas to evaluate the efficacy of trading strategies relative to appropriate benchmarks. Advantages of this approach are that you can use risk factors that are most appropriate to the model you are testing, and results can be evaluated using standard tests of statistical significance. The biggest drawback to this approach is that it ignores downside exposure, also known as drawdown. Alpha may be useful to look at in terms of ascertaining statistical significance, but we need to use other measures in order to evaluate strategy risk.

A common measure that considers risk in the form of volatility is the Sharpe ratio. The Sharpe ratio is closely related to the t-statistic used for measuring the statistical significance of differential returns. The Sharpe ratio divides an asset's excess average return (return less the risk-free rate) by the standard deviation of that return.⁸ It is a measure of the efficiency of a strategy that tells you how much return you earn per unit of risk that you bear. A higher Sharpe ratio indicates a better risk-adjusted return. A Sharpe ratio of 1.0 or greater is very good. For example, Ilmanen (2011) reports a